AQA

Please write clearly, in block capitals.

Centre number | | | | | | Candidate number | | | | |

Surname _____

Forename(s) _____

Candidate signature _____

GCSE
BUSINESS MARK SCHEME

March 2026 Year 9 Time allowed: 50 minutes

Instructions
- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box, around each page or on blank pages.
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Advice
- The marks for each question are shown in brackets.
- The maximum mark for this paper is 43.

Section A

01.1 Which of the following types of business does not operate in the tertiary sector?

A Distribution ○
B Banking ○
C Farming ○
D Clothing retailer ○

(1 mark)

01.2 A business has decided to take greater environmental responsibility when making decisions. What is the benefit to the business of doing this?

A It may increase costs ○
B Customer loyalty will improve ○
C Employees may look for other jobs ○
D It will help prevent global warming ○

(1 mark)

01.3 Which of the following would be a reason for a new business to prepare a business plan?

A Banks are more likely to provide loans ○
B It is a legal requirement ○
C It will encourage repeat business ○
D It will cost time and money to prepare ○

(1 mark)

ANSWERS

01.1 C 01.2 B 01.3 A

*01.4. Identify **two** advantages of a business changing from a sole trader to an Ltd.. (**2 marks**)*

- *Limited liability*
- *Ability to sell shares to raise capital*
- *Separate legal identity*
- *Continuity*

2	Explain what is meant by **organic growth** (2 marks) A business grows internally by increasing its output, by increasing its customer base or by developing new product(s).
3	What are the **4 factors of production**? (4 marks) Land, labour, capital and enterprise
4	What is meant by the term **outsourcing**? (2 marks) Contracting another business to carry out some of the business' activities, often to reduce costs.
5	What is meant by the term **franchising**? (2 marks) The sale of the rights to use/sell a product by a franchisor to a franchisee. A fixed fee and/or a percentage is paid in return. The franchisor specifies the standards and provides training and support.

6	List one benefit and one drawback of **franchising** for a the franchisor (2 marks) Benefits include: Receives initial fee and royalty payments Cheaper way to expand as franchisee pays initial fee Franchisor does not have to manage the day to day operations of the new branches Any other valid benefit Drawbacks include: Brand may be damaged if franchisee does not maintain high quality standards Franchisee only receives a proportion of the sales/profits Training/advice needs to be provided to the franchisee which can be time consuming/costly Accept any other relevant response
7	What is meant by the term **Business plan**? (2 marks) A detailed statement of how the business intends to operate, either at start-up or during a given period of time. Business plans are based on forecasts and so cover only a short time.
8	List 4 possible factors that affect where a business locates? (2 marks) Proximity to market Proximity to rivals Proximity to suppliers Proximity to other large stores/businesses/entertainment venues/tourist attractions Transport links/infrastructure Passing trade Costs including labour costs/property prices/rent/business rates Any other relevant responses
9	What is the formula for profit ? (2 marks) Revenue- costs
10	What is the difference between fixed costs and variable costs? (2 marks) Fixed costs are the costs that stay largely the same, regardless of the business' output. Variable are costs that change as the business' output changes.

Total for section A: 25 marks

Section B

Read Item A and answer Q1.

Tesco is the biggest private sector employer in the UK. Its stores range from small local Tesco Express, to large Tesco Extras and superstores. The locations of these stores are carefully chosen, to ensure that they are convenient for both customers and employees. Over 80% of the company's sales are generated from the stores based in the UK.

Q1.

Analyse two reasons why it is important for Tesco to select the right location for its stores. ***(6 Marks)***

Marks for this question: AO2 = 3 AO3 = 3

Level	Description	Marks
3	**Detailed analysis of topics based on the context.** ➡ Business areas are fully analysed. ➡ Applies knowledge and understanding to the context sufficiently.	5-6 AO3 AO2
2	**Sound analysis of topics based on the context.** ➡ Business areas are partially analysed. ➡ Applies some knowledge and understanding to the context.	3-4 AO3 AO2
1	**Basic analysis of topics based on the context.** ➡ Basic analysis of business areas. ➡ Basic knowledge and understanding is applied to the context.	1-2 AO3 AO2
0	**Nothing worthy of credit**	0

Application:

- Stores need to be convenient for customers – otherwise no sales
- Stores also need to be convenient for employees, to ensure the stores are fully manned and operational
- Need to have good transport links for suppliers and own distribution
- Competitor store locations are also important (can be a benefit or a threat)

Analysis:

- Customer location may be less important with online ordering
- Different types of stores will have different location priorities e.g. Tesco Express vs. Tesco Extra
- Difficult to recruit specialists and managers in some areas, so locations need to be convenient for employees

Example of a developed response:

For a supermarket, it is very important that the location is convenient for customers and their specific needs whilst they are shopping (L1). This means that Tesco must ensure that the location of each of its different types of stores is appropriate, as customer needs will be different according to the specific store type. For example, a Tesco Extra will need a large car parking space and good transport links, due to people doing their main shop there, whereas a Tesco Express needs to be located in an easy to reach central location, so that customers are able to access this type of store for one or two items after work. (L2) If Tesco is not located in an area which is easily accessible, but rivals do, Tesco will experience a fall in sales and market share, (L3) as rivals will be meeting customer needs more closely and due to the supermarket market being so competitive, a loss of a customer may result in that customer not returning to Tesco in the future, damaging its long term future sales (L3).

Read Item B and answer the question that follows.

Item B:

Jim Walls set up Quality Wallpaper Ltd ten years ago after he lost his job in a local factory. The factory closed due to a decrease in demand caused by the poor economy at that time. His business idea was to produce a range of wallpapers that would wipe clean and would therefore appeal to families with young children. Using his redundancy money, Jim hired a factory unit where he could design and make small quantities of wallpaper exactly to his customer requirements. With the improvement in the economy and rising employment levels in the area, Jim has been able to charge high prices for his wallpaper and make a good profit.

Over the last year, Jim has struggled to meet all the orders that his successful company has received. He has also found himself getting more and more requests to supply paint and to offer a home decorating service. To date, Jim has not really planned his business in detail. He has managed to operate with some second hand machinery and five employees, who he used to work with at the factory. As he is now also getting orders from locations outside of the local area, Jim has decided that the time is right to produce a business plan and to expand his company.

His own research and calculations have shown that making paint in large quantities would require expensive machinery, but would have low running costs and few employees. He would need additional finance, through a loan, to rent new larger premises and to purchase this new machinery

if he were to start paint production. Investing in new machines would also allow him to increase wallpaper production to meet the growing demand for this product.
He has also researched that if he offered a home decorating service, he would need to invest significantly in the recruitment and selection of managers and decorators, as he would require a large workforce to successfully run this service. He has also considered the possibility of franchising the home decorating business. The franchisees could use his name and logo and he would receive royalty payments in return.

02. Analyse the impact of expanding using a franchising for the home decorating service rather than the company employing its own additional staff and running the service themselves.
In your answer you should analyse the following options for his new home decorating service:

- franchising the home decorating business (by becoming a franchis**or**)
- recruiting managers and decorators to offer their own home decorating business

You must evaluate which option would be most profitable for Quality Wallpaper Ltd.
Use evidence to support your answer. **(12 marks)**

Marks for this question: AO1 = 3, AO2 = 3 and AO3 = 6

Level	Description	Marks
4	**Developed integrated analysis and evaluation of topics with sustained judgement based on context.**	10-12
	An integrated line of reasoning, which is coherent and relevant with a conclusion where the area which has been impacted on the most has been fully justified.	AO3
	Interdependent nature of business areas is fully analysed.	AO3
	Applies knowledge and understanding to the context and successfully draws together several functional areas of business.	AO2
3	**Detailed analysis and evaluation of topics based on the context.**	7-9
	A line of reasoning which is coherent and relevant with a conclusion that is justified.	AO3
	Different business areas are analysed independently or the interdependent nature of business areas is partially analysed.	AO3
	Applies knowledge and understanding to the context and starts to draw together several functional areas of business.	AO2
2	**Sound analysis and evaluation of topics in isolation of their interdependence based on the context.**	4-6
	A line of reasoning, with a conclusion that has some justification.	AO3
	One business area is analysed independently.	AO3
	Applies some knowledge and understanding to the context.	AO2
1	**Basic generic discussion of topics**	1-3
	A basic understanding of business concepts in isolation.	AO3
	A basic understanding of one or more business concepts.	AO3
	Partial relevance to the question.	AO2
0	**Nothing worthy of credit**	0

Integrated approach:

- Business has a quality reputation – would franchising the decorating service put this at risk? How could the business ensure that this standard was maintained with no management experience?
- The quality brand could mean that the franchise would be popular resulting in income from franchisees without major costs. Would franchisees set up on their own after they have a few customers?
- The company has no real experience in HR – current operation is Jim and a few former colleagues. The expansion will mean a more formal approach to recruitment and management. This will increase costs and could result in diseconomies of scale if not done well.
- Expansion is being financed by a large loan which will have costs and will make the growth more risky.

Understanding	Application	Analysis/evaluation
Franchise operation: financial	The franchisees would pay an initial cost and an annual cost	Revenue would go up, substantially in year 1 and there would be a regular additional income. Although there would be extra costs such as administration and quality control, these costs would be smaller than the alternative. Would reduce need and costs of borrowing money.
Franchise operation: operational	Product has high quality reputation Recruitment of franchisees	Could the company ensure this with franchises? No managerial experience of planning expertise in current operation. Recruiting the right franchisees will be critical, but no real experience of any form of recruitment.
Recruiting employees: operational	Would mean recruiting decorating teams at the same time as potentially expanding factory operation. Communication identified by Jim as a possible issue	Possible diseconomies of scale. Has the company the capacity to manage the recruitment and management of these teams? How would the communication work and would it add to the company costs?
Recruiting employees: financial	Administration costs to undertake recruitment Employment costs of decorators	May need to buy in extra staff to help recruit. Once running, cash flow is often difficult and workers will want weekly/ monthly pay; customers will want to pay at the end of a job resulting in potential cash flow issues. Need to pay managers or team leaders if decentralised
Competition	Relates to the expansion of the wallpaper and paint production rather than the decorating service	If there if pressure on the expansion this might reduce profits in the manufacturing part of the business, which will increase the risks for the decorating service.